

THE LEADING EDGE NEWSLETTER

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January 2024

POWERED BY THE INSTITUTE



Dear Clients and Friends of The Institute of Automotive Business Excellence,

As we step into the beginning of the new year, we're thrilled to extend a warm welcome to all of you. We're excited to share the latest updates and developments with you, as we continue to work towards providing valuable solutions and insights to empower your automotive business.

At The Institute of Automotive Business Excellence, our commitment to delivering excellence in the automotive industry remains stronger than ever as we continue to provide our clients with the most comprehensive & effective training in the automotive industry.

We're not just redefining industry standards - we're shaping the future of automotive businesses. Together, let's create a better business, a better life, and a better industry. Whether you're seeking inspiration, actionable strategies, or industry insights, The Leading Edge newsletter is your go-to resource. Visit The Institute's platform to stay connected with our mission to elevate the automotive aftermarket industry.



TOP NEWS OF THE QUARTER

COMPANY ANNOUNCEMENTS

It is with great pleasure that we announce significant strides in our ongoing pursuit of excellence. Over the past year, The Institute has undergone significant transformations, introducing key additions to our dynamic team. This infusion of talent has brought valuable expertise, enriching our capabilities to better serve you, our esteemed community.



Introducing [Jimmy Lea](#) as our new Vice President of Business Development. With over 24 years of experience in sales and business development, Lea has a proven track record of driving revenue growth and building strong customer relationships in the automotive industry. In his role, he will be responsible for expanding our customer base and product offerings, further solidifying our position in the automotive industry. Jimmy Lea assumed his new role as Vice President of Business Development at The Institute on May 2, 2023.

"I am excited to join the team at The Institute and contribute to the organization's mission of helping automotive businesses achieve excellence in all aspects of their operations," said Jimmy Lea. "I look forward to working with the team to drive revenue growth and expand our customer base and product offerings."

We are thrilled to welcome Jimmy to The Institute family," said Cecil Bullard, CEO of The Institute. "His extensive experience in sales and business development, combined with his passion for the automotive industry, will be a valuable asset to our organization. We look forward to the leadership and expertise he will bring to our team." For the press release, [click here](#).



Newsletter Highlights

Company News & Announcements

Program Highlights & Announcements

Introducing: "The Leading Edge Podcast"

A Message from the Founder: Cecil Bullard

Fuel for Thought: Latest in the Automotive Aftermarket industry



TOP NEWS OF THE QUARTER

COMPANY ANNOUNCEMENTS

October 31, 2023

OGDEN, Utah – Cecil Bullard, Kent Bullard, Jimmy Lea, and The Institute for Automotive Business Excellence is proud to announce our merger with Michael Herzburg Smith and Herzberg Smith & Co. This is a significant milestone for both organizations; their combined offerings advance the automotive service industry with a full range of services to strengthen and empower both the owner and the company.

Michael joins The Institute leadership team as the Chief Strategy Officer, spearheading The Institute's expansion programs, fostering client high performance, facilitating strategic growth, and orchestrating succession plans.

Michael brings a wealth of experience, having built numerous businesses and supported clients for 42 years across more than 40 different industry verticals. Michael was asked to bring his extensive knowledge base first to advise a leading automotive service company seven years ago, and his team has since focused exclusively on accelerating top independent auto service companies.

"I am pleased to combine forces with The Institute, an organization with a long, successful history of excellence and unwavering support for the automotive service business," said Michael. "I look forward to working with our members and strategic partners to drive innovation, high-performance and sustainable growth in this exciting sector in the decades to come."



PROGRAM HIGHLIGHTS

Advisor Performance Group (APG)

The APG has major and exciting changes coming for 2024 that we can't wait to show you. Motoring Specialist has had 35 months in a row of increase over the previous year in Sales and Gross Profit. With 2023 approximately triple 2021 in both categories! Pittman's Garage started with Shop owner coaching and in the APG in June this year and has DOUBLED their previous year's Gross Profit since July with RO Count being within 10% of the previous year. Frontline Automotive has had 12 months in a row of Gross Profit \$ increase over the previous year. (eleven of those months had fewer vehicles). GP per sold hour has been an increase over the previous year for the last 18 months straight. Thanks for your trust, thanks for your business, and thanks for your effort. 2024 is going to be more of the same success!

Manager Performance Group (MPG)

Our MPG program is evolving to offer more customizable solutions for improving manager effectiveness and leadership. We've introduced a new series of workshops and webinars focusing on efficient supply chain management and sustainable practices to optimize your business operations. Shops with both owners and managers in The Institute's programs have seen 20-30% increases in shop effectiveness and efficiency! This goes double for shops that have advisors, managers, and owners within one of our programs.

Gear Performance Group (GPG)

The Shop highlight will be Bennet Motor Werks - Owners Michael and Barbie Bennett. They have been a part of Cecil's Smart group prior to GPG and have seen a 40% increase in sales this year so far! Mostly due to replacing a low-production technician with a rock star.

Some of their stats in 2023: 40% increase in sales, 22% increase in Gross Profit, 20% increase in ARO.

Another shop to highlight is X-tra Mile Auto Care. Aaron Woods is the owner and the shop is managed by Tyler Nichols. They have seen a 43% increase in sales, a 38% increase in ARO, and a 28% increase in Gross Profit. Tyler has taken the manager reins this year and focused on the basics - DVI and sales processes to make a huge impact on sales and profitability.



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“We are very thankful for our family... and friends that are there to lend a hand whenever we need it, Our staff for working through our ups and downs, and Our newest family with GPG Group 6! Sharing trials and errors, methods, ideas and just being the best group EVER!” - Cindy Reason, Owner of Frontline Automotive



NEW PROGRAM ANNOUNCEMENTS!

Welcome to The Institute's new suite of programs designed to elevate your business in the ever-evolving automotive industry. Our programs are tailored to provide cutting-edge insights, best practices, and solutions, ensuring that our members thrive in a dynamic and competitive automotive landscape.

High-Performance Program:

Discover the transformative power of our industry-leading High-Performance Program. Based on human dynamics, leadership development, and team mastery, this program equips businesses to outperform their competitors. Unlock the secrets to attracting top talent, developing exceptional leaders, and creating best-in-class teams. Elevate your customer experience, engage with your community, and achieve long-term success with satisfied team members, loyal customers, and industry-leading profitability.



M&A Growth Program:

In response to the accelerating opportunities arising from baby-boomer owners exiting the industry, our M&A Growth Program guides businesses through strategic mergers, acquisitions, and partnerships. Learn the art of systematically purchasing and assimilating multiple locations, turning traditional "multi-shop" growth into a powerful strategy. Position yourself as a national consolidator, compete at the top of the industry, and connect with private investment markets to create additional financial value for your business.

Venture Strategy Program:

Forge connections with your best-in-class local competitors through our unique Venture Strategy Program. Collaborate with top shops in your market to challenge, support, and elevate each other to new heights of success. Benefit from short-term business improvements while opening up multiple exit and succession opportunities for the future. Experience the power of collective growth, satisfaction, and profitability as the best sharpen each other to consistently achieve record-setting success.

THE LEADING EDGE PODCAST

Revealing Engaging Dialogues

We are thrilled to bring a dynamic addition to The Institute of Automotive Business Excellence family – The Leading Edge Podcast. Designed as a complementary medium to The Leading Edge Quarterly Newsletter, our podcast is crafted to provide valuable insights, strategies, and success stories for shop owners at every stage of their business journey.

The Leading Edge Podcast is not just another podcast; it's a vital resource aimed at transforming the perception of the automotive industry. Whether you are a budding entrepreneur in the early stages of your business or a seasoned veteran managing multiple shops, our podcast is tailored to deliver content that enhances your business, improves your life, and contributes to a better industry as a whole. At the heart of our podcast's mission is the commitment to go beyond conventional industry norms. We strive to be the catalyst for positive change, offering shop owners a platform where they can gain actionable insights and implement strategies that drive success.



FINE TUNE
AUTO SERVICE

Jason Brennan, Eagle Scout Shop Owner. Fine Tune Automotive in Indiana and Illinois. As an MSO, he really values the guidance, advice and direction provided by The Institute. Advice to his younger self would be, "Implement sooner the Training provided by The Institute. Success will come much faster!"

Behind the Mic

Jimmy Lea is a Rockstar of the Automotive Aftermarket Industry with a passion for marketing and empowering shop owners. Jimmy has spent the last several years traveling the country, visiting shop owners in their own shops, helping them effectively market their businesses and achieve sustainable growth. When he is not out saving the world one shop at a time, he and his wife love spending time together hiking, riding bikes, and creating home improvement projects.

With Jimmy Lea as our guide, we have a dedicated professional who will empower us to unlock the true potential of our shops through strategic marketing. His passion, expertise, and proven track record make him a valuable asset to our industry, as we seek to enhance our marketing efforts and achieve long-term growth. You can expect to hear monthly from shop owners, just like you, who are navigating the paces of being a business owner. Tune in as we discover the good, the bad, and the benevolent!



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COMPANY EVENTS & RESOURCES

January:

GPG // Group 6 // Glenn's Auto Service (10-12)
Pave Online Conference (12-13)
GPG // Group 2 // Ripley's Total Car Care (17-19)
Leadership Intensive 1 // Michael Smith (22-24)
ASA Colorado Summit (27)

February:

Institute Company Meeting (31-Feb 1)
APG // Winter Training (2-3)
GPG // Group 5 // Joey's Auto Shop (7-9)
GPG // Group 1 // North Country Auto (14-16)
Webinar // RO Writer // Google Reviews (22)

March:

VISION (Feb 29-Mar 4)
Leadership Intensive 1 // Michael Smith (11-13)
GPG // Group 3 // Barrett Automotive (13-15)
MARS Conference (21-23)
ATE (West-Seattle) (22-24)

Links & Resources

See The Institute's events list: [Click Here](#)

Want access to our online resources/classes? [Click Here](#)

Want to learn more about The Institute? [Click Here](#)

Want a complimentary business health report?
[Click Here](#)

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FEATURED EVENT - THE MARS CONFERENCE

MARCH 21 - 23, 2024 // 3789 WALL AVE. OGDEN UT 84405

MARKETING FOR AUTOMOTIVE REPAIR SHOPS CONFERENCE

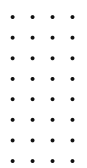
an out of this world marketing event for automotive professionals.

Learn Advanced Marketing Tactics

Strategy - Referrals - Targeting & More

Expert Presenters in Every Field

[Register for the Event](#)



INDUSTRY TRENDS

In the ever-evolving automotive industry, staying informed about the latest trends and news is crucial. Here are some notable updates:



RISE OF ELECTRIC VEHICLE (EV) AFTERMARKET SOLUTIONS:

Growing Demand for EV Accessories: As electric vehicles gain mainstream acceptance, there's a rising demand for aftermarket accessories tailored to EVs. This includes charging infrastructure upgrades, battery enhancement solutions, and customizable interior features catering to the unique needs of electric vehicle owners.

Specialized EV Maintenance Services: With an increasing number of electric vehicles on the road, there's a growing need for specialized maintenance and repair services. Aftermarket providers should consider expanding their service offerings to include EV-specific diagnostic tools, software updates, and battery maintenance solutions to capture this emerging market.

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DIGITAL TRANSFORMATION IN AUTOMOTIVE AFTERMARKET:

E-commerce Dominance: The automotive aftermarket is experiencing a significant shift towards online sales platforms. Embracing e-commerce strategies, including user-friendly websites, mobile apps, and digital marketing, is crucial for aftermarket businesses to remain competitive and reach a broader customer base.

Data-Driven Customer Engagement: Leveraging data analytics for personalized customer experiences is becoming a game-changer. Implementing shop management systems (SMS) and utilizing data analytics can help aftermarket businesses understand customer preferences, predict buying behavior, and tailor marketing efforts for improved customer satisfaction, loyalty, and most importantly, customer retention.



INDUSTRY TRENDS



SUSTAINABILITY AND ECO-FRIENDLY SOLUTIONS:

Green Initiatives in Product Development: Consumers are increasingly prioritizing environmentally friendly products. Aftermarket businesses should focus on developing and promoting sustainable solutions, such as recycled materials in manufacturing, energy-efficient products, and eco-friendly packaging. Highlighting these initiatives can enhance brand reputation and attract environmentally conscious customers.

Emphasis on Recyclability and End-of-Life Management: As the automotive industry moves towards a circular economy, aftermarket providers need to address the issue of end-of-life products. Implementing recyclability programs and providing information on proper disposal methods for products can position companies as responsible stewards of the environment, aligning with the growing global emphasis on sustainability.



ANNUAL MILEAGE TRAVELLED HAS RETURNED BUT IS DIFFERENT

Annual miles traveled have returned and even exceeded prior pandemic totals, but the composition of the miles traveled has changed as we have emerged from the pandemic. Insights derived from congestion data have indicated that rush hours have not returned to pre-pandemic levels in all locales, while in many locales congestion throughout the day has displayed a slight uptick as drivers are spreading trips throughout the day. [SOURCE: SPGLOBAL.COM](https://www.spglobal.com)

The aggregated effect of the changing vehicle miles traveled is expected to add about 1 percentage point to the overall VMT for 2022, increasing to 3.5 trillion miles for passenger cars and light trucks, which will fall within the range of typical year-on-year VMT change prior to the pandemic. That said, the regional change is expected to vary greatly year on year, ranging from a 1.2% decline in Mississippi to a 5.4% increase in New York. Likewise, demand for aftermarket maintenance and repair opportunities based on miles traveled is expected to see varied growth from region to region.



I WOULD LIKE TO PERSONALLY THANK EVERYONE THAT HAS SUPPORTED THE MISSION OF THE INSTITUTE: BETTER BUSINESS, BETTER LIFE, BETTER INDUSTRY. I LOOK FORWARD TO WORKING WITH YOU TO IMPROVE YOUR BUSINESS AND OUR INDUSTRY IN 2024.

CECIL BULLARD, FOUNDER & CEO



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ABOUT THE INSTITUTE FOR AUTOMOTIVE BUSINESS EXCELLENCE:

THE INSTITUTE IS A LEADING ORGANIZATION DEDICATED TO HELPING AUTOMOTIVE BUSINESSES THRIVE IN TODAY'S COMPETITIVE LANDSCAPE. WITH A FOCUS ON HIGH PERFORMANCE, OPERATIONAL EXCELLENCE, AND STRATEGIC GROWTH, THE INSTITUTE OFFERS A WIDE RANGE OF RESOURCES, EDUCATION, PEER GROUP PROGRAMS, AND NETWORKING OPPORTUNITIES TO ITS MEMBERS. BY FOSTERING INNOVATION AND COLLABORATION, THE INSTITUTE EMPOWERS AUTOMOTIVE BUSINESSES TO ACHIEVE EXCELLENCE AND SUCCESS IN AN EVER-CHANGING INDUSTRY.

FOR MEDIA INQUIRIES AND FURTHER INFORMATION, PLEASE CONTACT:

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